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Case Number: 25PSCV01979 Hearing Date: July 8, 2026 Dept: G

Defendants

HongMall US Corp., Weboook Information Technology Ltd., HongMall Holding Inc.,
and Le Xin's Motion to Set Aside Entry of Default

Respondent:

Plaintiff Wen & Winnie Trading LLC

TENTATIVE

RULING

Defendants

HongMall US Corp., Weboook Information Technology Ltd., HongMall Holding Inc.,
and Le Xin's Motion to Set Aside Entry of Default is DENIED.

BACKGROUND

This

is an action for breach of contract.

Plaintiff Wen & Winnie Trading LLC (Wen & Winnie Trading) is a
food and beverage importer and distributor.

Defendant HongMall US Corporation (HongMall US) is an alleged e-commerce
retailer and United States-based subsidiary of defendants Weboook Information
Technology Limited (Weboook) and HongMall Holding Inc. (HongMall Holding),
which are Canada-based companies.

Defendant Le Xin (Xin) is the alleged CEO of HongMall US, Weboook, and
HongMall Holding. In 2021, Wen &

Winnie Tading began selling goods to HongMall US. By December 2024, HongMall US allegedly fell
in arrears on payments, and Wen & Winnie Trading ceased shipping goods to

HongMall US. In December 2024, Weboook and HongMall Holding allegedly agreed on a payment plan of \$10,000 per week and up to \$40,000 per month on HongMall US's outstanding invoices in exchange for Wen & Winnie Trading's continued shipments to HongMall US. Between December 2024 and March 2025, Wen & Winnie Trading fulfilled orders to HongMall US, but HongMall US, Weboook, and HongMall Holding, and Xin (collectively, Defendants) allegedly failed to pay the invoices in full under the payment plan. In March 2025, Defendants allegedly ceased payments altogether.

On May 30, 2025, Wen & Winnie Trading filed the Complaint, alleging causes of action for (1) breach of contract, (2) open book account, (3) goods sold and delivered, (4) account stated, (5) restitution/unjust enrichment, (6) conversion, (7) fraud and deceit, (8) injunctive relief, and (9) declaratory relief.

On September 12, 2025, the court entered default against HongMall US, Weboook, and HongMall Holding. On October 22, 2025, the court entered default against Xin. On January 23, 2026, the court issued a default judgment against Defendants.

On May 22, 2026, Defendants filed this motion to set aside entry of default. On June 23, 2026, Wen & Winnie Trading filed the opposition, and on June 30, 2026, Defendants filed the reply.

The motion is set for hearing on July 8, 2026.

ANALYSIS

Defendants move to set aside the entries of default against Defendants based on attorney error. For the following reasons, the court DENIES the motion.

Legal
Standard

If

based on the mistake, inadvertence, surprise, or neglect of the party's attorney, then the court must set aside the entry of default and vacate any resulting default judgment against that party.

(Code Civ. Proc., § 473, subd. (b).)

"[R]elief may be denied if the court finds the default was not in fact the attorney's fault, for example when the attorney is simply covering up for the client's neglect." (Bailey v.

Citibank, Nat. Assn. (2021) 66 Cal.App.5th 335, 349.) The provision based on attorney mistake "does not afford relief to a client who, after inexcusably allowing his default to be entered, hires an attorney whose neglect results in a default judgment"; in other words, the entry of default must be the attorney's fault. (Cisneros v. Vucelja (1995) 37 Cal.App.4th 906, 908.) To obtain relief,

the attorney must include a sworn affidavit attesting to their mistake, and the court must direct the attorney to pay reasonable compensatory legal fees and costs to opposing counsel and parties. (Ibid.) The six-month period for a motion to set aside entry of default "runs from entry of default, not entry of judgment." (Manson, Iver & York v. Black (2009) 176 Cal.App.4th 36, 42.)

"The six-month time limit for granting statutory relief is jurisdictional and the court may not consider a motion for relief [under Section 473] made after that period has elapsed." (Ibid., emphasis added.)

Courts

liberally grant motions to vacate default judgments when relief is promptly sought and the opposing party is not prejudiced as the law strongly favors resolution on the merits. (Kramer v.

Traditional Escrow, Inc. (2020) 56 Cal.App.5th 13, 28.) Courts only require "slight evidence" to support vacating a default and resolve all doubts in favor of the party seeking relief. (Ibid.) However, "[t]he only occasion for the application of [S]ection 473 is where a party is unexpectedly placed in a situation to his injury without fault or negligence of his own and against which ordinary prudence could not have guarded." (Hearn v. Howard (2009) 177 Cal.App.4th 1193, 1206.)

Discussion

As

a preliminary matter, the court entered default against Defendants on September

12, 2025 and October 22, 2025. (See 1/23/2026

Order Re: Court's Final Order, p. 1.)

Defendants did not file this motion for relief under Code of Civil

Procedure section 473 until May 22, 2026, more than six (6) months after the court entered default against all Defendants.

(See Mot., p. 1.) Since

the motion was not filed within six (6) months of entry of default, the court

lacks jurisdiction to grant relief under Section 473, subdivision (b). (See *Manson, Iver & York*, supra, 176 Cal.App.4th at 42.)

Further,

even if the motion was filed timely, the court finds the motion fails on the merits. According to Defendants'

counsel, Defendants did not request that counsel represent them in this action until November 28, 2025. (See McDonough

Decl., ¶¶ 4–5.) The court entered

default against Defendants before they retained counsel in this action, so the entries of default were not the result of counsel's mistake, inadvertence, surprise, or neglect. (See Code

Civ. Proc., § 473, subd. (b), instructing the court to set aside an entry of default "unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect"; see also *Bailey*, supra, 66 Cal.App.5th at 349, permitting the court to deny relief "if the court finds the default was not in fact the attorney's fault, for example when the attorney is simply covering up for the client's neglect.")

Counsel

states that Defendants informed him about the default judgment on April 30, 2026, so the default judgment is, in part, counsel's fault since counsel failed to move timely to set aside the entries of default against Defendants. (See McDonough Decl.,

¶¶ 8–9.) Nevertheless, as stated above,

Section 473, subdivision (b) "does not afford relief to a client who, after inexcusably allowing his default to be entered, hires an attorney whose neglect results in a default judgment." (*Cisneros*, supra, 37 Cal.App.4th at 908.)

Therefore,

the court DENIES the motion to set aside the entries of default.

CONCLUSION

For
these reasons, the motion to set aside default is DENIED.